

FINANCIAL SNAPSHOT

BharatPe posted losses of more than ₹200 crore in FY20



■ OPERATING REVENUE ■ TOTAL EXPENSES ■ LOSSES

*From media reports **Note:** All figures in ₹ crore

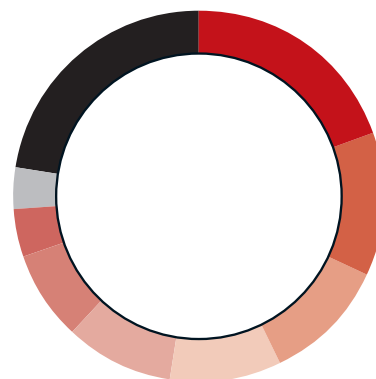
Resilient Innovations is the holding company of BharatPe

Source: RoC, media reports, Entrackr

A LOT AT STAKE

Ashneer Grover is the highest individual shareholder in BharatPe

- 19.6 SEQUOIA CAPITAL INDIA
- 12.4 COATUE
- 11 RIBBIT CAPITAL
- 9.6 BEENEXT
- 9.5 ASHNEER GROVER
- 7.8 SHASHVAT NAKRANI
- 4.1 STEADVIEW CAPITAL
- 3.7 TIGER GLOBAL
- 22.3 OTHERS



Shareholding in per cent

Source: Tracxn

26 | “The AoA states that if a founder terminates his employment without the approval of the board and the investors representing investor majority threshold, then the restricted shares (stock that cannot be sold, due to a limitation associated with it) held by such a founder shall be bought back by the company at the lower of the fair market value or the price paid by the relevant founder for acquisition of such restricted shares. A similarly worded requirement is also present in the SHA,” says Khanna. That’s not the end of the story. Khanna maintains it is quite likely that, with this as the backdrop, “BharatPe and/or its existing shareholders [can] trigger the buyback clause in the AoA as well as the SHA to the extent of restricted shares which constitute 1.4 per cent of the 9.5 per cent stake held by Mr Grover.”

Although Grover is out of the picture, there are potentially more nasty surprises. Khanna is clear that since the allegations mainly relate to fraud and misappropriation of funds, an application can be referred to the tribunal to direct the SFIO (Serious Fraud Investigation Office), through

the central government to investigate into the affairs of the company. “If found guilty of fraud, Mr Grover or anyone from his family involved therein may be liable under Section 447 of the Companies Act and may have to pay up to three times the amount of money involved in the fraud/misappropriation. Additionally, a complaint may also be preferred before the Economic Offences Wing under Sections 405, 406 and 420 of the IPC for cheating and criminal breach of trust,” he says.

And what of BharatPe, the unicorn? Serial entrepreneur and promoter of bigbasket, Portea Medical and HomeLane, K. Ganesh, picks his words carefully: “Grover’s ouster/resignation would not impact the company operations or its execution plans, but there could be normal fund-raise challenges and valuation may get subdued in the near term.” To him, the distraction posed by the entire controversy or the lack of continuity and a face of the company are concerns for BharatPe. “However, a company of such a large scale and size should not have any problems with fund-raise in a few months from now

if it is able to show its performance to the investors.”

A large chunk of industry trackers and VCs believe the way ahead will be arduous. “It will be tough for investors to commit capital,” says one VC. “Regardless of what people say about Paytm or the stock underperforming, investors are comfortable with Vijay Shekhar Sharma being around. The presence of a founder makes a huge difference.”

When one considers all factors, the past three months have been quite forgettable for Grover. It saw his reputation being blown away, as also his position from the company he helped build. The future of BharatPe is at best unknown and perhaps even dangerously poised. Its investors could lose a lot of the money they put in with the hope that Grover would build a large fintech firm. However, the reality is that the most prominent face of BharatPe is not there anymore. It is left to the board and its CEO, Suhail Sameer, to infuse confidence among investors and employees. **BT**

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